

Kotak Mahindra Bank Ltd vs K. Dhanalakshmi on 29 January, 2026

IN THE COURT OF SH. SNEHIL SHARMA
JUDICIAL MAGISTRATE FIRST CLASS NI ACT
PATIALA HOUSE COURT, NEW DELHI

JUDGMENT

KOTAK MAHINDRA BANK LTD. vs. K. DHANALAKSHMI CC NO: 17880/2019 U/s 138 NI Act a
CNR No. of the case : DLND02-029450-2019 b Date of institution of the case : 29.11.2019 c Cheque
number and dated : 000034 dt. 25.10.2019 d Cheque amount : Rs. 2,00,00,000/-

e Name of the complainant : M/s Kotak Mahindra Bank Ltd.

Through its AR Add:- 2nd floor, Shop no. 4, North West, Avenue Road, Sector 4, Club Road Punjabi
Bagh, New Delhi -

110026.

f Name of the accused and her : Ms. K. Dhanalakshmi, Add:- 1, B Mile Stone, 14, Sriram parentage
Nagar, South Street, Alwarpet, Chennai - 600018.

g Offence complained of	: 138 NI Act
h Plea of accused	: Not guilty
i Orders reserved on	: 06.01.2026
j Final order	: Accused Ms. K. Dhanalakshmi, is convicted for offences punishable under sections 138 NI Act.
k Date of judgment	: 29.01.2026

1. Vide this judgment the present complaint case for an offence punishable U/S 138 of the
Negotiable Instruments Act, 1881 (hereinafter "NI Act") is being decided.

2. It is the case of the complainant that the Complainant advanced SNEHIL SHARMA working
capital limits aggregating to Rs. 11,10,00,000/- (Rupees Eleven Digitally signed by SNEHIL CC NO.
17880/2019 KOTAK MAHINDRA BANK LTD. vs. K. DHANALAKSHMI Page 1 of 17 SHARMA Date:

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("borrower") vide Sanction Letter dated 14.02.2018, 15.03.2018 and 22.03.2018.

3. That the Complainant, as per the request of the borrower, disbursed the amount of Rs. 11,10,00,000/- (Rupees Eleven Crores Ten Lakhs Only from time to time. The master fund based facility agreement was executed between the Complainant and the Borrower through the Accused on 20.02.2018. Deed of Guarantee dated 20.02.2018, was executed by the Accused along with Ms. S. Visalakshi, Mr. K. Swaminathan, and Mr V. Krishnamurthy, in favour of the Complainant for repayment of the credit facilities and all moneys due and payable under the credit facilities for interest or otherwise. However, the Borrower committed default in repayment of the credit facilities and that despite repeated requests made to the borrower and the guarantors including the Accused, to discharge their dues, the borrower and the guarantors including to the Accused failed and neglected to repay the said dues/outstanding liabilities.

4. The Complainant has also issued a Notice dated 21.10.2019 under Section 13 (2) of the SARFAESI Act to the Borrower and the Guarantors including the Accused for demand of Rs. 8,19,21,359.06/- (Rupees Eight Crore Nineteen Lakh Twenty One Thousand Three Hundred Fifty Nine and Paise Six Only as on 23.09.2019 within 60 days from the date of said Notice.

5. That towards the discharge of the partial liability on part of the Borrower, the Cheque bearing No. 000034 dated 25.10.2019 drawn on HDFC Bank, having its branch at 53, 4th Avenue, Plot No. 841 Ashok Nagar Chennai- 600083 for Rs. 2,00,00,000/- issued by the Accused in favor of the Complainant was presented for its encashment by the SNEHIL SHARMA Complainant to its collecting bank i.e. Kotak Mahindra Bank Ltd. Connaught Place, New Delhi-110001 on 25. 10.2019. Digitally signed by SNEHIL SHARMA Date:

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6. To the utter shock and dismay of the Complainant, the said cheque were returned unpaid as dishonored for the reason referred as "Funds Insufficient" vide cheque return memo dated 29.10.2019.

7. That thereafter the complainant sent legal notice dated 04.11.2019 through Registered post, calling upon the accused to make payment to him the said cheque amount within fifteen days of the receipt of the legal notice but accused has replied legal notice on 07.11.2019 but not paid any payment. Thereafter, the present complaint was filed by the complainant against the accused.

8. On being satisfied of the prima facie ingredients of Section 138 of the NI Act, cognizance was taken and summons were directed to be issued against the accused vide order dated 29.11.2019.

9. Accordingly, on 05.04.2022 notice under Section 251 Cr.PC r/w Section 263(g) Cr.P.C was framed against accused and accused not pleaded guilty and accused stated that the cheque in question was a blank signed security cheque handed over by her to the complainant bank against the loan amount received from them. The principal loan amount has almost been paid. The fact of dishonour of cheque is within her knowledge. She does not know whether she received the legal demand notice as she was busy in the marriage of her daughter. However, the address mentioned on the legal demand notice was her correct address as on the date of legal demand notice. She does not owe any liability

to the complainant bank.

10. In Complainant's evidence, the complainant (CW-1) tendered his evidence affidavit in post summoning evidence and relied upon the following documents: Digitally signed by SNEHIL SNEHIL SHARMA SHARMA Date:

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i) Ex. CW1/X : Evidence affidavit

ii) Mark CW1/A : Copy of board resolution

iii) Ex.CW1/B : Sanction letter

iv) Ex. CW1/C : Master fund based agreement.

v)	Ex.CW1/D	: Copy of Deed of Guarantee.
vi)	Ex.CW1/E	: Notice
vii)	Ex.CW1/F	: Original cheque. (admitted u/s 294 Cr.P.C.)
viii)	Ex.CW1/G	: Returning memo (admitted u/s 294 Cr.P.C.)
ix)	Ex.CW1/H	: Copy of legal notice sent.
x)	Ex.CW1/I	: Postal receipts with delivery proofs.
xi)	Ex.CW1/J	: Statement of account.

11. CW1 was cross examined on behalf of accused and he deposed that he is working with the complainant bank since 2010. He joined as a Manager in the complainant bank, thereafter, he got promotions. It is correctly admitted that they were having a Kotak Mahindra Branch across India. It is correctly admitted that they made an agreement with the accused in Chennai. CW1 Again said that he does not remember the exact location. After going through the case file, the agreement has been executed in Chennai. The head office of the complainant bank is situated in Bandra Kurla, Mumbai. He cannot say whether all the cases U/s 138 NI Act are in Delhi only. The agreement was entered into between the complainant bank and M/s Ultra Tile Pvt ltd. The accused was the personal guarantor in her personal capacity. CW1 voluntarily deposed that As a matter of norm, a loan is advanced to company, its directors stand as personal guarantors of the said loan. He was not aware when the insolvency proceedings were initiated against M/s Ultra Tile Pvt Ltd. It is correctly admitted that he had been authorized by board resolution.

12. It is correctly admitted that Ex.CW1/A was valid till 31.03.2020. It is correctly admitted that there is a further board resolution for continuation of his authority. However, the same is not on record. There SNEHIL SHARMA were two types of loans which were granted namely cash credit and Digitally signed by SNEHIL SHARMA

Date:

CC NO. 17880/2019 KOTAK MAHINDRA BANK LTD. vs. K. DHANALAKSHMI Page 4 of 17 2026.01.29 17:21:25 +0530 working capital term loan. The said loans were sanctioned on 14.02.2018 as per the details of the sanction letter i.e. Ex.CW1/B. He was Chief Manager at that time when the Ex.CW1/B was issued. He had no personal knowledge about the issuance of Ex.CW1/B. As per Ex.CW1/B, the amount of loan to be allocated was Rs. 11.10 Cr. He would have to check the exact dates on which the loan amount was disbursed to M/s Ultra Tile Pvt Ltd. It is correctly admitted that the loan amount of Rs. 11.10 Crore was disbursed to M/s Ultra Tile Pvt Ltd.

13. He had filed the statement of accounts i.e. Ex.CW1/J alongwith the complaint that has the details of disbursement of the amount of Rs. 11.10 Crore in favour of M/s Ultra Tile Pvt Ltd. He stated that the aspect of disbursement of Rs. 11.10 Crore in favour of M/s Ultra Tile Pvt Ltd. cannot be inferred from Ex.CW1/J. CW1 voluntarily deposed that Ex.CW1/J however depicts the outstanding amount. He could not tell the exact dates on which the amount of Rs. 11.10 Crore was disbursed in favour of M/s Ultra Tile Pvt Ltd. Ex.CW1/J is the document from which the exact disbursement date can be inferred. CW1 voluntarily deposed that The exact date will have to be checked from the records. CW1 was asked that Can he produce the records pertaining to the disbursement of the amount of Rs. 11.10 Crore in favour of M/s Ultra Tile Pvt. Ltd. vide Ex.CW1/B to which he answered that Yes, on the next date of hearing. The applicable interest rate can be inferred from Ex.CW1/B. As per the sanction letter, the interest on the loan was to be charged on MCLR Basis.

14. CW1 was asked that can he elaborate on MCLR Basis to which he answered that The rate of interest can be charged on reparate basis and MCLR basis which also depends on the nature of entity which is claiming the loan. The MCLR rate at the time of issuance of sanction letter was of two types: (1) MCLR for one year @8.35% p.a. which is for term loans SNEHIL SHARMA whereas another (2) MCLR for six months @ 8.45% p.a. which is for Digitally signed by SNEHIL CC NO. 17880/2019 KOTAK MAHINDRA BANK LTD. vs. K. DHANALAKSHMI Page 5 of 17 SHARMA Date:

2026.01.29 17:21:29 +0530 working capital (cash credit) it is mentioned in the sanction letter Ex.CW1/B that cash credit loan was disbursed to the tune of Rs. 6 Crores whereas working capital term loan was disbursed to the tune of Rs. 5.10 Crores. It is correct that the interest rate as stated above in Ex.CW1/B is the same rate of interest in article 7.1 of Ex.CW1/C.

15. CW1 was asked that had he put on record any document to show the total amount of interest charged from the accused with respect to loan in question to which he answered that yes, statement of account which is Ex.CW1/J. CW1 was asked that can he point out from the statement of account the rate and amount of interest charged

from the accused against the present loan in question to which he answered that he could not say, it is a matter of record. He had brought document as was asked by counsel for complainant and is Mark A. He does not remember when the cheque in question handed over to them. CW1 voluntarily deposed that it is was march month. The amount mentioned on the cheque is the actual liability of the accused. It was undated cheque. We inform the accused before presentation of the cheque. CW1 voluntarily deposed that they sent reminder to the accused after the bouncing the cheque. Reminder was sent through several mode including email and call etc. There is no document on record to show any reminder sent to the accused prior to the depositing the cheque. It is mandatory to give 60 days notice under sarfaesi act by the complainant to the borrower and guarantor. It is correctly admitted that no action under sarfaesi act can be taken within the aforesaid time frame. The period of 60 days start from the date of issue of the legal notice. he does not remember when asset was secured after the issue of said legal notice.

The liability of the guarantor start from day 1 and the bank initiates the action again the borrower and thereafter again the guarantor. he does not remember whether any communication of increase of interest rate was given by the complainant to the accused. Digitally signed by SNEHIL SNEHIL SHARMA SHARMA Date:

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16. It is correctly admitted that no such document is on record. It is correctly admitted that the document on record does not show the interest rate charged for each month. CW1 voluntarily deposed that it is showing complete. CW1 denied all the suggestoins put to him and thereafter CE was closed.

17. The accused was then examined under Section 313 Cr.P.C., 1973 wherein all the incriminating evidence were put to the accused and the accused stated that that The cheque in question belongs to her and bears her signature. No other particular on the cheque in question has been filled by her. She was only the name sake director of the company Ultra Tiles. She is not aware of any other details. She does not owe any liability towards the complainant bank. The fact of dishonour of the cheque is within her knowledge. She had received the legal demand notice. She admitted Ex.CW1/D. Rest of the documents are denied. 95% of loan in question in reference to which the present case has been filed has already been paid.

The cheque was given as blank signed cheque at the time of application as a security. She was not involved in business transaction at all. She was passive Director. She does not know how her cheque reached to the complainant. Accused chose to lead DE.

18. Accused Dhanlaksmi examined herself as DW1 and she deposed that there is no such liability on date cheque was deposited. They had deposited the cheque within 4 days of sarfesi notice. They were preparing to pay for that whatever is pending but they have deposited the cheque within 4 days from

date of sarfesi notice. They were not given sufficient time to repay pending amount before depositing of cheque and then the exorbitant interest was charged by the complainant to accommodate the said amount of Rs. 8 crore, just before depositing the cheque infact they have been charging 3 times and 4 times of agreed interest since May 2019 onwards. SHARMA SNEHIL The whole case is false. The undated cheque was given before the debt was Digitally signed by SNEHIL SHARMA CC NO. 17880/2019 KOTAK MAHINDRA BANK LTD. vs. K. DHANALAKSHMI Page 7 of 17 Date:

2026.01.29 17:21:40 +0530 created and they have not approached the assets of the company and approached the gurantors directly. Her bank is Chennai, instead of presenting the cheque there they have presented in Delhi. Complainant is unnecessarily harassing her. Complainant is also having branch office in Chennai. She had paid all the amount to the complainant. There is no due left.

19. She/DW1 exhibited document Copy of bank statement for the year 2018-2019 as Ex.DW1/1, Copy of working of interest, charged by complainant Ex.DW1/2, Copy of application file by complainant before DRT Chennai Ex.DW1/3, copy of email dt. 08.02.2024 from liquidator of borrower company to the husband of accused Ex.DW1/4, copy of letter corresponsence of complainant and email dt. 27.10.2025 from liquidator to husband of accused as Ex.DW1/5, affidavit u/s 63(4) BSA 2023 as Ex.DW1/6.

20. DW1 was cross examined on behalf of complainant and she deposed that it is correct that she was Director with the borrower Ultra Tiles Pvt. Ltd. DW1 voluntarily deposed that she had never been to office. She is housewife, she look after the family. It is her husband who runs the company and she was the name sake Director. She was never involved in the functioning of the company. She don't know whether the company took loan from complainant bank. DW1 voluntarily deposed that she need to check from her husband. It is correctly admitted that she had signed the deed of gurantee dt. 28.02.2018 Ex.CWI/D. DW1 voluntarily deposed that she had just signed the documents on instructions of her husband. She does not remember whether the account number mentioned in the dishonoured cheque belongs to her. DW1 voluntarily deposed that she own one SBI Account of chennai branch. It is correctly admitted that cheque in questions SNEHIL bears her signature. She does not know that there was default by theSHARMA borrower company against the complainant bank for the loan for which sheDigitally signed by SNEHIL SHARMA CC NO. 17880/2019 KOTAK MAHINDRA BANK LTD. vs. K. DHANALAKSHMI Page 8 of 17 Date:

2026.01.29 17:21:45 +0530 was gurantor. She was staying at 1, B Milestone 14 Shriram Nagar, South Street Alwarpet Chennai, till August 2020. She does not know whether the legal notice dt. 04.11.2019 was served upon her. DW1 voluntarily deposed that her husband knew about the receipt of the legal notice. She had no knowledge about the documents referred in her chief i.e. Ex.DW1/1 to DW1/6.DW1 denied all the suggestions put to her and thereafter DE was closed and final arguments were heard.

21. It has been argued by Ld. Counsel for the complainant that case of the complainant is proved and cheque is also in the favour of the complainant, therefore, accused must be convicted and amount should be recovered. On the other hand, Ld. Counsel for accused has argued that accused has been falsely implicated in this case and that complainant has not been able to prove its case beyond reasonable doubt against the accused.

22. I have heard ld. counsel for the complainant and Ld. Defence counsel for accused & considered the respective arguments as well as gone through case file very carefully.

23. The essential ingredients in order to attract Sec. 138 of NI Act, 1881 are as following:

i) The cheque for an amount is issued by the drawer to the payee/complainant on a bank account being maintained by him.

ii) The said cheque is issued for the discharge, in whole or in part of any debt or liability.

iii) The cheque is returned by the bank unpaid on account of insufficient amount to honour the cheque or it exceeds the amount arranged to be paid from that account by an agreement made with the bank.

iv) The cheque is presented within 3 months from the date on SNEHIL SHARMA which it is drawn or within the period of its validity.

v) within 30 days a legal demand notice is issued by the payee Digitally signed or the holder in due course to the drawer of the cheque on by SNEHIL SHARMA Date:

2026.01.29 17:21:50 +0530 receipt of information by him from the bank regarding the dishonour of the cheque.

vi) The drawer of the said cheque fails to make payment of the said amount of the money as demanded in the legal demand notice to the payee or the holder in due course within 15 days of the receipt of said notice.

vii) The debt or other liability against which the cheque was issued is legally enforceable.

24. Now, coming to the facts of the present complaint case keeping in view the essential ingredients of section 138 of NI Act. In this case, it is not disputed and duly admitted by the accused that the cheque in question bears her signatures and admitted giving it to the complainant but denies filling the particulars on the cheque. Therefore, it can be said that the cheque was drawn by her in favour of the complainant. Therefore, the essential ingredient (i) as discussed in the preceding paragraph stands fulfilled.

25. Accused has further admitted the fact of dishonour of the cheque in question, hence, another essential ingredients (iii) and (iv) also stand proved by the complainant. The accused has denied receiving of legal demand notice but admit address mentioned in the legal notice as correct. No objection qua the tracking report is taken by the accused, no postal witness is called to rebutt the document. So it can be rightly said that she had knowledge of the facts stated in the legal notice. Hence, essential ingredients (v) and (vi) also stand proved.

26. In the landmark decision of Hon'ble Supreme Court of India in matter of "C. C. Alavi Haji Vs. Palapetty Mohd. & Anr." reported in (2007) 6 Supreme Court Cases 555 held that as under:-

"Any drawer who claims that he did not received the notice sent by post, can, within 15 days of receipt of summons from SNEHIL the court in respect of complaint Under Section 138 of the SHARMA Act, make the payment of the cheque amount and submit to Digitally signed by the court that he had made the payment within 15 days of the SNEHIL SHARMA receipt of summons (by receiving a copy of complaint with Date: 2026.01.29 17:21:54 +0530 the summons) and, therefore, the complainant is liable to be rejected. A person who does not pay within 15 days of receipt of summons from the court along-with the copy of complaint Under Section 138 of the Act, can not obviously contend that there was no proper service of notice as required Under Section 138, by ignoring statutory presumption to the contrary Under Section 27 of G. C. Act and 114 of the Evidence Act."

27. Now coming to the last and the remaining core ingredients (ii) and

(vii) of Section 138 of NI Act as discussed above and the real issue of controversy herein i.e. whether the cheque in question was issued in discharge of any debt or liability, whole or in part and whether the same is a legally enforceable debt.

28. In the present case, the statutory presumptions under section 118(a) and 139 would be raised in favour of the complainant regarding the fact that the impugned cheque has been drawn for consideration and issued by the accused in discharge of legally enforceable debt.

29. It has been held by a three-judge bench of the Hon'ble Apex Court in the case of Rangappa vs. Sri Mohan (2010) 11 SCC 441 that the presumption contemplated under Section 139 of NI Act includes the presumption of existence of a legally enforceable debt. Once the presumption is raised, it is for the accused to rebut the same by establishing a probable defence. The principles pertaining to the presumptions and the onus of proof were recently summarized by the Hon'ble Apex Court in Basalingappa vs. Mudibasappa (2019) 5 SCC 418 as under:

"25. We having noticed the ratio laid down by this Court in the above cases on Section 118(a) and 139, we now summarize the principles enumerated by this Court in the following manner:

25.1. Once the execution of cheque is admitted Section 139 of the SNEHIL Act mandates a presumption that the cheque was for the discharge of SHARMA any debt or other liability.

25.2. The presumption under Section 139 is a rebuttable presumption and the onus is on the accused to raise probable defence. The Date: 2026.01.29 standard of proof for rebutting the presumption is that of preponderance of probabilities.

25.3. To rebut the presumption, it is open for the accused to rely on evidence led by him or the accused can also rely on the materials submitted by the complainant in order to raise a probable defence.

Inference of preponderance of probabilities can be drawn not only from the materials brought on record by the parties but also by reference to the circumstances upon which they rely. 25.4. That it is not necessary for the accused to come in the witness box in support of his defence. Section 139 imposed an evidentiary burden and not a persuasive burden.

25.5. It is not necessary for the accused to come in the witness box to support his defence."

It is explicit in the NI Act that the said presumption shall remain until contrary is proved.

30. With respect to the point of blank cheque raised by the accused, it is pertinent to mention that Section 20 of the NI Act talks about inchoate instruments. As per this provision if a person gives a duly signed cheque which is either blank or partly filled then he is deemed to have given implied authority to the holder to fill up the particular in it and complete the cheque, thus making the draw liable for the payment mentioned in it. It is immaterial that the cheque may have been filled in by any person other than the drawer, when the cheque is duly signed by the drawer. If the cheque is otherwise valid, the penal provision of section 138 would be attracted. At this stage, reference may be sought from the decision of Hon'ble Supreme Court in the case of Bir Singh vs. Mukesh Kumar (2019) 4 SCC 197 wherein the Apex Court while upholding the validity of blank signed cheque in a proceeding u/s 138 of the Act has inter alia held the following:

"If a signed blank cheque is voluntarily presented to a payee, towards some payment, the payee may fill up the amount and other particulars. This in itself would not invalidate the cheque. The onus would still be on the accused to prove that the cheque was not in SNEHIL discharge of a debt or liability by adducing evidence."
SHARMA

31. It is a settled proposition of law that a cheque issued as security, pursuant of financial transaction, cannot be considered as a worthless piece of paper. It is given to ensure the fulfilment of an obligation undertaken. If a cheque issued to secure repayment of a loan advanced and if the loan is not repaid on or before the due date, the drawee would be entitled to get the cheque for payment, and if such a cheque is disordered, the consequences contemplated under section 138 NI act would follow.

Reliance is placed upon *Sripati Singh v. State of Jharkhand*, 2021 SCC Online 1002. Further as to the plea of cheque being a security cheque, it was held in *ICDS v. Beena Shabir & Anr.* (2002) 6 SCC 426, that security cheques would also fall within the purview of section 138 NI Act and a person cannot escape liability unless he proves that the debt or liability for which cheque was issued as security is satisfied otherwise.

32. As the presumption is against the accused, therefore burden was upon the accused to prove her defence. During the case, she had failed to inform the ultimate date of the repayment to the complainant. Also, no document or witness or whatsapp chat is produced by the accused to prove the total repayment qua the cheque in question, if any, to the complainant or supporting their defence and showing zero balance against the accused. No repayment slip or no repayment message or no digital record of clearing all the dues towards the complainant is filed by the accused for the perusal of the court and for their support. Even the accused has not challenged or rebutted the deposition of the complainant.

33. Also, The accused has admitted execution of the Deed of Guarantee (Ex. CW1/D). Once a deed of guarantee is admitted, the liability of the guarantor is co-extensive with that of the principal borrower, unless otherwise contractually limited, as per Section 128 of the Indian Contract Act, 1872. The law does not recognize any distinction between an "active" SNEHIL SHARMA or "inactive" guarantor. What is relevant is voluntary execution of the Digitally signed by SNEHIL SHARMA Date:

2026.01.29 17:22:07 +0530 guarantee, not the degree of participation in business affairs. The accused has failed to place on record any material to show that her liability as guarantor stood extinguished or satisfied on the date of issuance or presentation of the cheque.

34. The contention that 95% of the loan amount had already been repaid remains a bald assertion, unsupported by any cogent documentary evidence. No bank receipts, statement of account, or settlement document has been produced by the accused to probabalise the said defence. Mere suggestions in cross-examination or oral assertions during statement under Section 313 Cr.P.C. or defence evidence cannot rebut a statutory presumption unless supported by credible material.

35. On the contrary, the complainant has placed on record the statement of account (Ex. CW1/J), which reflects subsisting outstanding liability or liability way more than the cheque amount. The accused has not been able to demonstrate any specific error, manipulation, or illegality in the said statement. It is settled law that in proceedings under Section 138 NI Act, the complainant is not required to prove the exact arithmetic of liability with mathematical precision when cheque amount is less than the liability shown and no document is produced to show the repayment.

36. Furthermore, The argument that the cheque was presented within a short span after issuance of SARFAESI notice is also legally untenable.

Proceedings under the SARFAESI Act and prosecution under Section 138 of the NI Act operate in distinct statutory domains and are not mutually exclusive. Issuance of a SARFAESI notice neither suspends nor extinguishes the right of the complainant to present a cheque issued towards discharge of liability. The accused has failed to show any legal bar restraining the complainant from presenting the cheque during the said SNEHIL SHARMA period. Digitally signed by SNEHIL SHARMA CC NO. 17880/2019 KOTAK MAHINDRA BANK LTD. vs. K. DHANALAKSHMI Page 14 of 17 Date:

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37. Additionally, The defence that the complainant charged exorbitant or enhanced interest also does not assist the accused. Even assuming, for the sake of argument, that there was a dispute regarding the quantum of interest, the same does not negate the existence of liability altogether. It is well settled that a cheque issued towards partial discharge of liability or against an admitted debt, even if the exact amount is disputed, still attracts the rigour of Section 138 NI Act.

38. The plea that the accused was merely a "name sake director" or a housewife is wholly irrelevant once she admits execution of the Deed of Guarantee and issuance of the cheque. Commercial liability does not depend upon the degree of involvement in day-to-day affairs but flows from contractual obligations voluntarily undertaken. The accused has also admitted that the cheque in question bears her signature and was drawn from her bank account. Issuance of the cheque by the accused in her personal capacity further establishes that the liability was not merely vicarious or being director but personal and direct.

39. The defence that documents were signed on the instructions of her husband is also of no legal consequence. It is a settled principle of law that one who signs a document is presumed to have understood and accepted its contents, unless fraud or coercion is specifically pleaded and proved. No such plea or evidence has been brought on record by the accused.

40. Also the document exhibited by the accused does not help to accused in reversing her burden as the matter is pending since 2019 and no document suggests that the payment was made before the filing of the present matter and make the liability less than the cheque amount.

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41. Also perusal of record shows that cheque returning memo shows that reason of returning the cheque is "funds insufficient" and not payment stopped by the drawer. If the accused had given this cheque earlier then also she should have filed complaint before the bank or police regarding the possibility of misuse of this cheque, which she had not, showing that she was under liability to pay the amount to the complainant.

42. Accused had not informed the court regarding the date of visiting the complainant to demand back her cheque, if she had already repaid the amount. There exists no circumstances to create any doubt or confusion giving benefit of doubt to the accused. No omission or contradiction is also brought on record by the accused. No circumstances are shown which can attract benefit of doubt in favour of the accused.

43. On the aspects of preponderance of probabilities, the accused has to bring on record such facts and such circumstances which may lead the court to conclude either that the consideration did not exist or that its non existence was so probable that a prudent man would, under the circumstances of the case, act upon the plea that the consideration did not exist. As per the facts and circumstances of this case accused has not led any cogent and believable evidence to support her defence and has failed to rebut the presumptions.

44. The Hon'ble Supreme Court in Rohitbhai Jivanlal Patel vs State of Gujarat and another 2019) 18 SCC 106 and in various other rulings have time and again, emphasized that though There may not be sufficient negative evidence which could be brought on record by the accused to discharge his burden, yet mere denial would not fulfil the requirements of rebuttal as envisaged under section 118 and 139 of the NI Act. further, it SNEHIL SHARMA has been held in Rajesh Agarwal v. State, 2010 SCC online Del 2501 that:-

Digitally signed by SNEHIL SHARMA Date:

2026.01.29 CC NO. 17880/2019 KOTAK MAHINDRA BANK LTD. vs. K. DHANALAKSHMI Page 16 of 17 17:22:22 +0530 "9.There is no presumption that even if an accused fails to bring out his defence, he is still to be considered innocent. If an accused has a defence against dishonour of the cheque in question, it is he alone who knows the defence and responsibility of spelling out this defence to the court and then proving this defences is on the accused....."

45. Keeping in view the facts and circumstances of the present case and the settled position of law in this regard, the presumption of law as per section 118(a) and section 139 of NI Act clearly come in picture for the favour of complainant and his burden of proving the fact of issuance of cheque in question in discharge of legally enforceable debt stands discharged and the accused has miserably failed to discharge her reverse onus. Accordingly, the ingredients mentioned at (ii) & (vii) of Para No. 23

of this judgment are also fulfilled.

46. In my view, the complainant has proved that the accused has issued the cheque in question in his favour for discharge of the legally enforceable liability and has proved his case against the accused for the offence under Sec. 138 Negotiable Instruments Act. Resultantly, accused Dhanalakshmi, is thus, held guilty and stands convicted for the said offence.

Announced in Open Court
today on 29.01.2026

(SNEHIL SHARMA)
JMFC (NI Act-01)
PATIALA HOUSE COURTS NEW DELHI

Copy of this judgment be given free of cost to the convict.

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